

Outlook

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Follow-up: the rate move is affecting products differently

Morning,

I need help with something that sounds simple but probably is not.

The planning team needs to understand which product and customer groups are most exposed when lending and account rates change. The discussion is currently being driven by anecdotes, and the teams involved are describing the same customers differently.

The questions I would ask in the room are:

1. What would we expect to see if variable-rate borrowers show stress before fixed-rate borrowers?
2. What evidence would instead support that fee-sensitive deposit activity changes after repricing?
3. How do we rule out that repayment stress is driven more by cash flow than by nominal rate?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use May 2025 as the new evidence point rather than recycling the earlier conclusion. Please work towards where product repricing, customer communication or credit monitoring should be focused. A useful output would be a one-page finding note plus the underlying CSV for our own review.

Use monthly account snapshots, status events, limits, product enrolments and signatories; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions. One caution: This is a behavioural sensitivity study, not IRRBB, economic value of equity or a regulatory interest-rate calculation.

Regards